

EQUITY RESEARCH · COMPANY DEEP DIVE

Broadcom Inc. (AVGO.US)

OVERWEIGHT

Composite · Valuation: HOLD
Blended Target: \$374.23
Implied upside: +2.5%

Technology · Semiconductors
Large Cap (>\$200B) · Report Date: June 28, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-28

Price (Jun): \$365.02

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$374.23 (+2.5% vs \$365.02); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

COMPOSITE INVESTMENT SIGNAL

Composite: OVERWEIGHT (score +0.35, confluence 75%) · TA: BULLISH · Quant: POSITIVE · FSA: Strong. Solid financial statement profile.

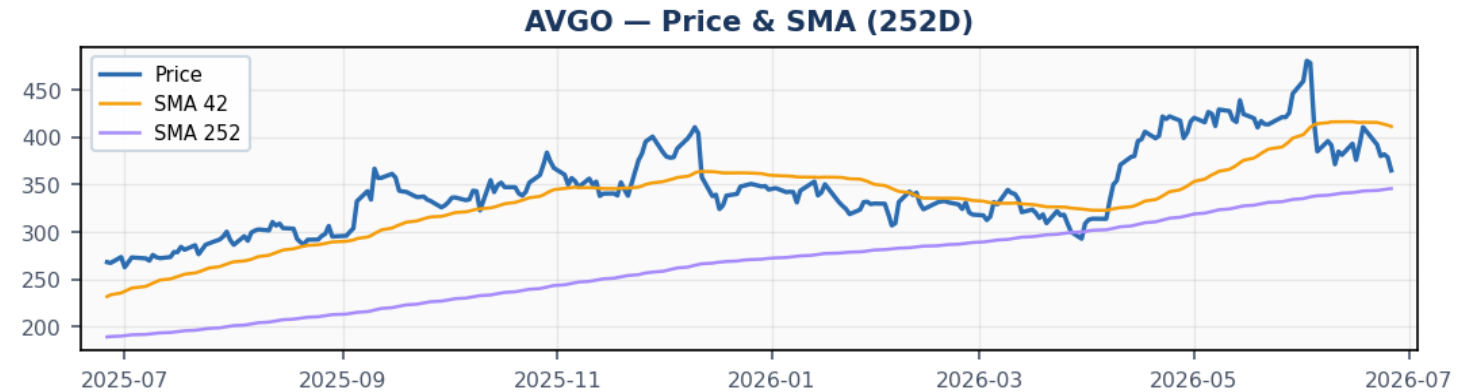
INVESTMENT THESIS / EXECUTIVE SUMMARY

Broadcom Inc. (AVGO) — Technology. Broadcom Inc. designs, develops, and supplies various semiconductor devices and infrastructure software solutions internationally. The company operates in... **HOLD** rating; blended target \$374.23. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.74T	Shares Out.	4757.6M
52-Week Range	\$262.66 – \$495.00	P/E (TTM)	60.6x
P/B	19.8x	Beta	1.43
Avg Volume	26.28M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$75.46B	Rev Growth	+47.9%
Op. Margin	49.0%	FCF (TTM)	\$26.91B

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	51,574	63,887	94,489	126,880	158,277
Revenue Growth (%)	N/A	23.9%	47.9%	34.3%	24.7%
Net Income (\$M)	5,895	23,126	34,203	45,928	57,294
Net Income Growth (%)	N/A	292.3%	47.9%	34.3%	24.7%
Gross Margin (%)	63.0%	67.8%	76.3%	76.3%	76.3%
Net Margin (%)	11.4%	36.2%	36.2%	36.2%	36.2%
ROE (%)	8.7%	28.4%	42.1%	51.2%	60.9%
EPS (\$)	1.24	4.86	7.19	9.65	12.04
Book Value / Share (\$)	14.23	17.09	17.09	18.84	19.78
P/E (x)	294.59	75.09	50.77	37.81	30.31
P/B (x)	25.66	21.36	21.36	19.38	18.45
Dividend Yield (%)	71.0%	71.0%	71.0%	71.0%	71.0%

Page 2 of 3 · Broadcom Inc. (AVGO) · Financial Statement · Technical · Quantitative · 2026-06-28

FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Strong (score +0.70). Strengths: Revenue CAGR 24.4% (3Y); Operating margin improving; Current ratio 1.71x. 3Y projection: ~25.0% revenue growth; Y3 revenue \$147.39B.

Metric	Value	Assessment
FSA Health Score	+0.70	Strong
Revenue CAGR (3Y)	24.4%	
Net Income CAGR (3Y)	26.2%	
Gross Margin Trend	Stable	
Operating Margin Trend	Improving	
Current Ratio	1.71x	Liquidity
Debt / Equity	74%	Leverage
ROE	37.3%	Profitability
FCF / Net Income	1.16x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$94.33B / \$147.39B	@25.0%
Proj. Net Income (Y1 / Y3)	\$36.51B / \$57.04B	Margin × (1–tax)

TECHNICAL ANALYSIS (SMA 42/252)

Metric	Value	Notes
SMA (42d)	\$411.51	Short-term trend
SMA (252d)	\$345.82	Long-term trend
RSI (14d)	43.9	Momentum oscillator
Trend	Bullish	
Golden Cross (20d)	No	
Death Cross (20d)	No	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$411.51, SMA252=\$345.82

QUANTITATIVE ANALYSIS

Metric	Value	Notes
12m Momentum	+36.1%	
3m Momentum	+21.6%	
Ann. Volatility	43.6%	
Sharpe Ratio	1.14	Rf=4%
Max Drawdown	-41.1%	
Rel. Strength vs SPY	+665.6%	
Quant Score	+0.65	POSITIVE
SMA Backtest (ann.)	60.1%	B&H; 67.0%

Page 3 of 3 · Broadcom Inc. (AVGO) · Valuation · Industry · Peers · Q4 FY2025

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$131.83	-63.9%	0% (excluded)	DCF diverges >55% below comparable-implied value
Profile template weights	—	—	—	High-growth technology (Comps-anchored; DCF excluded when distorted): Comps 85%, Analyst 15%
Comps — 52-week range anchor	\$374.23	+2.5%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$275.50	-24.5%	—	Peer median 39.2x
Comps — P/S (peer median)	\$206.88	-43.3%	—	Peer median P/S 13.0x
Comps — Blended (median of multiples + uplift anchors)	\$374.23	+2.5%	100%	Included in blend
Analyst consensus (Yahoo Finance)	\$523.73	+43.5%	0% (excluded)	Analyst consensus lags / diverges >35% from comps
Blended target (weighted)	\$374.23	+2.5%	100%	Comps 100%
Audit (≥30% vs price)	—	—	—	Triggered (lupside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	11.88%
Terminal g	4.00%
FCFE growth	16.77%
Base FCFE	\$26.91B
PV explicit (5Y)	\$162.10B
PV terminal	\$465.11B
Equity value (adj.)	\$627.21B
Implied price	\$131.83
vs. current	-63.9%

INDUSTRY ANALYSIS

- 1. Industry Overview**

Broadcom Inc. designs, develops, and supplies various semiconductor devices and infrastructure software solutions internationally. The company operates in two segments: Semiconductor Solutions and Infrastructure Software. The company offers networking connectivity, such as custom silicon solutions, ethernet switching & routing, ethernet NIC controllers, physical layer devices, and fiber optic...
- 2. Key Trends**

 - Strong top-line growth (47.9% YoY)
 - High operating leverage (49.0% margin)
 - Above-market volatility (β=1.43)
 - Sector: Technology | Industry: Semiconductors
- 3. Risk Factors**

 - Premium valuation (P/E: 60.6x)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
AMD	Advanced Micro Devices	\$850.49B	172.1x	113.3x	13.4%	+37.8%
INTC	Intel Corporation	\$644.94B	N/A	47.3x	-5.9%	+7.2%
QCOM	QUALCOMM Incorporated	\$199.62B	20.4x	15.8x	22.3%	-3.5%
TXN	Texas Instruments Inco	\$259.76B	48.8x	31.0x	29.1%	+18.6%
AVGO*	Broadcom Inc.	\$1.74T	60.6x	42.3x	38.8%	+47.9%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.